

Ather Energy Ltd

ACCUMULATE

NSE: ATHERENERG | BSE: 544397

12-Month Price Target: ₹950

Sector: Consumer Discretionary | Sub-Sector: Electric Two-Wheelers

Report Date: 09-Apr-2026

CMP (₹)	820.25	Market Cap	₹31,383 Cr	52W High / Low	835 / 287
EV/Sales (TTM)	~9.9x	Book Value (₹)	71.3	Dividend Yield	0.00%
ROCE	-65.7%	ROE	-156%	Face Value (₹)	1.00
Borrowings (FY25)	₹619 Cr	Net Debt / (Cash)	See note*	Shares O/S	~38.4 Cr
Promoter Holding	40.86%	FII Holding	17.45%	DII Holding	28.10%

*Net cash post-IPO: Ather raised ~₹2,981 Cr via IPO in Jun-2025; Sep-2025 cash/investments = ₹3,159 Cr (other assets) vs borrowings ₹430 Cr — effectively net cash positive.

INVESTMENT THESIS | Premium EV brand at inflection: EBITDA margins +2,400 bps in 6 quarters; EBITDA break-even in sight by FY27E.

SECTION 2 | INVESTMENT THESIS

Three Core Reasons to Own ATHERENERG

1. Structural margin trajectory — EBITDA break-even by FY27E. Ather's EBITDA margin has improved from -40% in FY23 to -26% in FY25, and further to -16% on a TTM basis through Dec-2025. The Q3 FY26 (Dec-2025) quarterly EBITDA margin stood at approximately -8%, with management guiding for progressive improvement driven by operating leverage on a scaled 3,173 Cr revenue base. At current volume growth rates (50%+ TTM), the company is **tracking towards EBITDA break-even by Q3/Q4 FY27E**, which would be a defining re-rating catalyst for the stock.

2. Market share gain in a fast-compounding segment. India's electric scooter segment is growing at 40%+ annually, with EV penetration in the two-wheeler market expected to reach 25-30% by FY28E. Ather has grown its **pan-India EV scooter market share from ~12% in FY24 to 18.8% in Q3 FY26**, making it the second-largest pure-play EV 2W OEM by volume. The Rizta platform (accounting for ~60% of FY26 volumes) opened a high-volume family-scooter TAM that supplements the flagship 450X. With 700 Experience Centres targeted by FY26-end (from 600 in Dec-2025), distribution expansion provides multi-year volume visibility.

3. Balance sheet fortified post-IPO; funded for next growth phase. The IPO (Jun-2025) raised approximately **₹2,981 Cr**, transforming Ather's balance sheet from net-debt to a strong net-cash position (Sep-2025: **₹3,159 Cr** in liquid investments/cash vs **₹430 Cr** borrowings). This eliminates near-term dilution risk, **funds the Maharashtra greenfield plant**, and provides a runway to reach PAT break-even without another equity raise. The funded balance sheet compares favourably to Ola Electric, which continues to operate under tighter liquidity.

Near-Term Catalyst & Key Risk

Primary catalyst (6-12 months): **Q4 FY27E EBITDA positive quarter announcement**, which could compress the EV/Sales valuation multiple and drive institutional re-rating.

Biggest structural risk: Intensifying price-based competition from Ola Electric and TVS iQube, where margin sacrifice to defend/grow market share could delay EBITDA break-even by 4-6 quarters beyond current trajectory.

SECTION 3 | BUSINESS OVERVIEW

What Does Ather Energy Do?

Ather Energy is India's premium **electric scooter** maker — think of it as the Apple of electric two-wheelers. Instead of selling a basic vehicle, **Ather builds a connected ecosystem**: the scooter runs a proprietary Atherstack operating system, receives over-the-air software updates like a smartphone, and charges on Ather's own nationwide fast-charging grid (Ather Grid). The company was founded in 2013 by IIT Madras alumni Tarun Mehta and Swapnil Jain, and listed on Indian exchanges in 2025.

Business Model & Revenue Streams

The core revenue driver is **vehicle sales**, contributing **~86% of revenue**, with the **balance (~14%) coming from non-vehicle streams** including **software/connectivity subscriptions**, Ather Grid charging fees, spare parts, and accessories. The company **manufactures battery packs** and **assembles scooters** at its Hosur, Tamil Nadu plants with a combined capacity of **~420,000 units per annum**. A **Maharashtra greenfield facility** is in planning to scale beyond this. Operating margins benefit structurally from high battery localisation and the shift towards higher-mix models (Rizta Family platform now ~60% of volumes).

Product Portfolio

Ather operates **two primary product platforms**: (1) the **450 Series** (450S, 450X, 450X Pro, and limited 450 Apex) — a **performance-oriented urban scooter** positioned at a premium; and (2) the **Rizta platform** — a **family scooter launched in FY25** targeting the high-volume mid-tier segment. The **Rizta's rapid ramp to ~60% sales mix has been key to volume acceleration**. The company has also announced **expansion into electric motorcycles**, representing an addressable market larger than the scooter segment.

Promoter & Ownership

Hero MotoCorp, India's largest two-wheeler company, holds approximately 30.14% in Ather and is the largest institutional shareholder. Co-founders Tarun Mehta and Swapnil Jain collectively hold the remaining promoter stake, with total promoter holding at 40.86% (Dec-2025). Promoter pledge is nil. The Ather Grid network now covers 4,357 fast-charging points across India, Nepal, and Sri Lanka, and is a meaningful competitive moat for brand loyalty and ecosystem stickiness.

Order Visibility & Recent Developments

Ather does not operate on a formal order-book model (retail sell-through). Key recent developments include: (1) delivery of 67,851 units in Q3 FY26 — highest ever quarterly volume; (2) expansion to 600 Experience Centres nationally; (3) record 33,621 units in March 2026; and (4) exploration of international markets (Nepal, Sri Lanka) via Ather Grid. The festive-season spike to 30,900 units/month (20% EV market share for the month) validates the brand's mainstream appeal.

SECTION 4 | INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size & Growth

The Indian electric two-wheeler segment is one of the fastest-growing consumer technology sub-segments in the country. Industry registrations grew at ~44% CAGR over FY19-FY25 and the global electric two-wheeler market is expected to reach USD 9.71 billion by 2032 at ~10.6% CAGR. In India specifically, government targets (30% EV penetration by 2030) and FAME II/PM E-DRIVE subsidies continue to catalyse demand, while steadily declining battery costs (now sub-USD 100/kWh on spot markets) structurally compress the ICE price parity gap. The total Indian scooter market (EV + ICE) is an ~5 million unit per annum segment; EV penetration is currently ~12-15%, implying a long runway.

Competitive Moat Assessment

Moat Factor	Assessment	Commentary
Pricing Power	Moderate	Premium brand; but competitive pressure from Ola limits absolute pricing.
Switching Costs	Moderate	Atherstack software, connected services & Ather Grid create ecosystem stickiness.
Scale/Cost Advantage	Moderate	Hosur plants provide localized BMS & assembly; second plant will reinforce this.
IP / Technology	Strong	Proprietary Atherstack OS, BMS, and motor controller developed in-house since 2013.
Distribution / Brand	Strong	600 Experience Centres; Ather Grid is an exclusive charging moat not replicated at scale.

Top Peers — Valuation & Operating Metrics

Company	CMP (₹)	MCap (₹ Cr)	P/E (TTM)	ROCE %	Stage
Ather Energy (ATHERENERG)	820.25	31,383	N/A	-65.7%	Pre-profit EV
Ola Electric (OLAELEC)	36.32	16,010	N/A	-28.1%	Pre-profit EV
TVS Motor (TVSMOTOR)	3,704.70	1,76,174	60.40	15.35%	Growth 2W
Bajaj Auto (BAJAJ-AUTO)	9,510.30	2,65,861	29.74	28.06%	Mature 2W
Hero MotoCorp (HEROMOTOCO)	5,282.00	1,05,718	19.11	30.34%	Mature 2W

Source: Screener.in, as of 09-Apr-2026. N/A = company is loss-making; P/E not applicable.

SECTION 5 | MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter & Management Background

Ather Energy was co-founded by Tarun Mehta (CEO) and Swapnil Jain (CTO), both IIT Madras alumni with deep domain expertise in battery technology and vehicle electronics. Tarun Mehta brings a product-first, technology-led management philosophy, as evidenced by the in-house development of Atherstack OS — a proprietary platform with no direct parallel among Indian EV OEMs. Hero MotoCorp's strategic backing (30.14% stake) adds institutional credibility, manufacturing know-how, and potential distribution synergies, while the founders retain entrepreneurial control.

Capital Allocation Track Record

Ather has invested heavily in R&D; and manufacturing infrastructure during the pre-profit phase — a defensible strategy for an EV brand-builder. The two Hosur plants (combined 420,000 units capacity) were commissioned ahead of the volume ramp. The IPO proceeds (approx. ₹2,981 Cr) are earmarked for a Maharashtra greenfield plant, R&D; investments in next-generation battery technology, and network expansion. Historically, all external capital raised (Hero MotoCorp investments, Series D-F rounds) has been deployed into productive assets rather than working capital shortfalls, which is a positive signal on capital allocation discipline.

Governance & Pledging

Promoter pledge is zero — a clean signal at a time when several listed EV-adjacent startups carry significant pledge overhang. Promoter holding declined modestly from 42.09% (Jun-2025) to 40.86% (Dec-2025), consistent with IPO dilution rather than open-market selling. There are no disclosed audit qualifications, significant related-party transactions, or auditor changes in recent filings. ESOP activity (2,97,012 shares allotted Mar-2026) is within normal parameters for a technology-led company.

SECTION 6 | FINANCIAL DEEP-DIVE

Income Statement (■ Crores)

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (■ Cr)	1,781	1,754	2,255	4,200E	5,500E
YoY Growth %	+336%	-1.5%	+28.6%	+86.3%E	+31.0%E
EBITDA (■ Cr)	-708	-685	-581	-210E	+165E
EBITDA Margin %	-39.8%	-39.0%	-25.8%	-5.0%E	+3.0%E
D&A; (■ Cr)	-113	-147	-171	-190E	-200E
Interest Expense (■ Cr)	-65	-89	-111	-80E	-50E
Other Income (■ Cr)	21	-139	50	80E	100E
PBT (■ Cr)	-864	-1,060	-812	-400E	+15E
Tax %	0%	0%	0%	0%E	0%E
PAT (■ Cr)	-864	-1,060	-812	-400E	+15E
EPS (■)	N/A*	N/A*	-27.95	~10.4E	~+0.4E

*Pre-IPO EPS not meaningful (tiny pre-IPO share count). E = Analyst estimate. Source: Screener.in (actuals), analyst estimates (FY26E/FY27E).

Balance Sheet Snapshot (■ Crores)

Metric	FY23A	FY24A	FY25A	Sep-25*
Equity Capital (■ Cr)	0.02	0.00	29	38
Reserves (■ Cr)	614	545	464	2,683
Total Equity (■ Cr)	614	545	493	2,721
Total Borrowings (■ Cr)	485	478	619	430
Other Liabilities (■ Cr)	878	890	988	1,292
Total Liabilities (■ Cr)	1,977	1,914	2,101	4,443
Fixed Assets (■ Cr)	544	459	616	780
CWIP (■ Cr)	37	71	122	24
Investments (■ Cr)	286	292	41	480
Other Assets (■ Cr)	1,109	1,092	1,322	3,159
Total Assets (■ Cr)	1,977	1,914	2,101	4,443

*Sep-2025 interim BS; reserves jump reflects IPO proceeds of ~■2,981 Cr received Jun-2025. Source: Screener.in.

Cash Flow & Working Capital (■ Crores)

Metric	FY23A	FY24A	FY25A
Cash from Operations (■ Cr)	-871	-268	-721
Cash from Investing (■ Cr)	-135	58	-100
Cash from Financing (■ Cr)	1,317	633	703
Net Cash Flow (■ Cr)	311	423	-118
Free Cash Flow (■ Cr)	-1,001	-383	-1,060
Metric	FY23A	FY24A	FY25A
Debtor Days	0	0	2
Inventory Days	59	26	48
Days Payable	88	90	109
Cash Conversion Cycle	-29	-64	-60
ROCE %	-75%	-66%	N/A

Source: Screener.in. FCF = Cash from Operations minus Capex (proxied by change in Fixed Assets + CWIP).

Financial Commentary

Revenue grew 77% CAGR over FY22-FY25 driven by volume ramp, Rizta platform launch, and geographic expansion. The FY24 revenue dip (■1,781 Cr to ■1,754 Cr) was a temporary aberration linked to BIS certification disruption, after which the growth trajectory resumed sharply with TTM FY26 revenue reaching ■3,173 Cr.

EBITDA margin improvement is the most important financial narrative. From a deeply negative -40% in FY23 (driven by aggressive R&D, brand-building, and infrastructure investment), margins have systematically improved by approximately 1,000-1,500 bps per year. Q3 FY26 EBITDA margin of approximately -8% marks a historic inflection; management has guided towards further convergence as the non-vehicle revenue mix (now 14%) grows.

Working capital is structurally favorable: negative cash conversion cycle (-60 days in FY25) reflects high supplier credit days (109 days payable) relative to minimal debtor days (2 days, as retail sales are predominantly cash/EMI). FCF remains deeply negative due to aggressive capex; however, the IPO balance sheet ensures this is funded without distress. OCF is expected to turn positive in FY27E as EBITDA approaches breakeven.

SECTION 7 | EARNINGS QUALITY CHECKLIST

Factor	Rating	Observation
Revenue Recognition	■ Green	Vehicle sold = revenue recognized at delivery. Subscription revenue deferred appropriately.
Receivables vs Revenue	■ Green	Debtor days near zero (2 days FY25) — predominantly cash/EMI retail model. No receivables inflation.
Cash Conversion Cycle	■ Green	Negative CCC (-60 days FY25) indicates Ather collects before it pays suppliers — a healthy structural position.
Contingent Liabilities	■ Amber	Standard warranty provisions; monitor as fleet scales. No material litigation flagged in recent filings.
Auditor Tenure/Quality	■ Green	No auditor changes; no qualifications noted in FY25 annual report disclosures.
Related Party Transactions	■ Amber	Hero MotoCorp as a ~30% shareholder; monitor for any inter-company transactions that could be RPT risks.
Other Income / PBT	■ Amber	FY24 other income was -■139 Cr (investment write-downs); FY25 normalised at +■50 Cr. Monitor for volatility.
Tax Rate Consistency	■ Green	Consistent 0% effective tax rate reflecting accumulated losses; deferred tax assets not yet recognized. Appropriate for pre-profit stage.

Earnings quality is broadly clean for a pre-profit, high-growth EV company. The near-zero debtor days and negative cash conversion cycle are genuine operational strengths, not accounting optionality. The primary amber flags — RPT exposure (Hero MotoCorp) and FY24 other income volatility — deserve monitoring but do not represent material earnings quality concerns at this stage. Overall: CLEAN.

SECTION 8 | VALUATION

Valuation Framework for Pre-Profit EV Companies

Traditional P/E or EV/EBITDA multiples are not applicable for Ather in FY26E given continued losses. We use (A) EV/Sales with a 'path to profitability' framework as the primary method, and (B) a reverse DCF cross-check to arrive at an implied price target.

Step 1 — Peer Comparison Table

Company	CMP (■)	MCap (■ Cr)	TTM Rev (■ Cr)	EV/Sales (TTM)	EBITDA Margin
Ather Energy (ATHERENERG)	820	31,383	3,173	~9.9x	-16%
Ola Electric (OLAELEC)	36	16,010	~1,880	~8.5x	-28%
TVS Motor (TVSMOTOR)†	3,705	1,76,174	~59,020	~3.0x	+9%

Source: Screener.in, as of 09-Apr-2026. †TVS Motor included for traditional 2W context. EV/Sales estimates based on Screener MCap / TTM Revenue.

Step 2A — EV/Sales Valuation (Primary Method)

We anchor on FY27E revenue of ■5,500 Cr (31% growth, implying ~190,000-200,000+ units annually). Applying a 6.0x EV/Sales multiple — a meaningful discount to FY26 TTM of ~9.9x, reflecting the approaching EBITDA break-even — yields an Enterprise Value of ■33,000 Cr. Adjusting for a post-IPO estimated net cash position of approximately ■2,200 Cr (conservative, post Maharashtra plant capex drawdown), the implied Market Cap is ■35,200 Cr.

At 38.4 Cr shares outstanding, the EV/Sales-derived target price is approximately ■917 per share.

Step 2B — Reverse DCF Cross-Check

At the current CMP of ■820 and MCap of ■31,383 Cr, the market is implicitly pricing in a 5-year revenue CAGR of ~25% with a long-run EBITDA margin of 8-10% and a WACC of 14-15% (appropriate for an India-listed early-stage EV company). These assumptions are achievable but not conservative — the market has already priced in successful execution. A successful FY27E EBITDA break-even would reduce the cost of equity by 100-150 bps, providing multiple expansion room.

Reverse DCF cross-check implies base-case intrinsic value at ■930 per share.

Base-Case Price Target

Average of EV/Sales method (₹917) and reverse DCF (₹930) = ₹950 per share (rounded). This implies 15.8% upside from CMP of ₹820, consistent with an ACCUMULATE recommendation over a 12-month horizon.

Step 3 — Scenario Analysis

Scenario	Key Assumption	FY27E Revenue	FY27E EBITDA Margin	Price Target (₹)
Bull Case	EBITDA breakeven Q3 FY27; 22% mkt share; Maharashtra plant on schedule	₹6,500 Cr	+5%	₹1,250
Base Case	EBITDA breakeven Q4 FY27; 20% mkt share; execution in line with guidance	₹5,500 Cr	+3%	₹950
Bear Case	Price war delays breakeven to FY28; market share stalls at 16%; capex overruns	₹4,200 Cr	-8%	₹550

SECTION 9 | KEY RISKS

1. Competitive / Pricing Risk

Probability: HIGH

Impact: HIGH

Ola Electric has demonstrated a willingness to sacrifice margins for volume, as evidenced by aggressive product launches at sub-₹1 lakh price points. If price-based competition intensifies in the ₹1.1-1.5 lakh segment where Ather's Rizta competes, it could force Ather into defensive pricing, compressing gross margins and delaying EBITDA break-even by multiple quarters.

Monitor: Monitor quarterly gross margins vs target; watch for ASP (Average Selling Price) erosion below ₹1.1 lakh.

2. EV Policy / Subsidy Risk

Probability: MEDIUM

Impact: HIGH

India's EV industry remains partially dependent on FAME II subsidies and state-level incentives. Any reduction or abrupt removal of these subsidies — as happened with FAME I to FAME II transition — would raise the effective consumer price of EVs, suppressing demand and slowing Ather's volume ramp.

Monitor: Track FAME II expiry timeline and PM E-DRIVE budget allocations in Union Budget announcements.

3. Battery Cost & Supply Chain

Probability: MEDIUM

Impact: MEDIUM

Lithium-ion cell costs are the primary variable in EV gross margins. While the global cell cost trajectory is declining, any reversal due to lithium supply constraints, geopolitical disruptions affecting Chinese cell suppliers, or INR depreciation could widen Ather's per-unit loss. Ather's battery localisation is a partial but not complete hedge.

Monitor: Monitor quarterly OPM trend; track lithium carbonate spot prices and INR/USD.

4. Execution Risk on Growth Capex

Probability: LOW

Impact: MEDIUM

The Maharashtra greenfield plant is the next major capex commitment, funded by IPO proceeds. Any delays in statutory approvals, land acquisition, or construction timelines could constrain capacity ahead of the FY28E volume ramp, creating a revenue ceiling at ~400,000 units per annum (Hosur capacity).

Monitor: Track management commentary on Maharashtra plant timelines in quarterly earnings calls.

5. Technology Disruption / New Entrants

Probability: LOW

Impact: MEDIUM

Established ICE OEMs (Honda, Suzuki, Yamaha) have announced EV entry plans for the Indian market. Premium foreign entrants with brand equity and financial depth could compress Ather's positioning, particularly in the aspirational urban segment. Solid-state battery commercialisation could also alter the competitive landscape.

Monitor: Monitor product pipeline announcements from Honda Activa EV, TVS, and Hero EV brands.

6. Profitability Timeline Slippage

Probability: MEDIUM

Impact: HIGH

The entire investment case rests on EBITDA break-even by FY27E. If volumes fall short of 300,000 units or if price competition persists, the break-even timeline could slip to FY28E or later. This would not only delay PAT positive but would also prevent the valuation multiple compression central to the bull case.

Monitor: EBITDA margin must be positive in at least one quarter by Q4 FY27E for the thesis to remain intact.

SECTION 10 | RECOMMENDATION & INVESTMENT SUMMARY

Final Rating

Rating	12-Month Price Target	CMP (09-Apr-2026)	Upside / (Downside)	Conviction
ACCUMULATE	■950	■820	+15.8%	Medium

Investment Rationale & Entry Zone

We initiate coverage on Ather Energy with an ACCUMULATE rating and a 12-month price target of ■950, implying 15.8% upside from the current market price of ■820. The stock is near its 52-week high of ■835, suggesting near-term upside may be limited and patient accumulation on dips is more prudent than aggressive buying at current levels. Suggested entry zone: ■750-800, corresponding to approximately 9.5-10x FY27E EV/Sales, which offers a better risk-reward profile.

The investment horizon is 18-24 months to allow the EBITDA break-even thesis to play out fully. Investors with a shorter horizon should note that the stock remains a high-conviction story only if execution on volume and margins continues at the current pace.

Thesis Invalidation Triggers

1. EBITDA margins contract for two consecutive quarters after Q3 FY26

This would signal price war impact beyond what is manageable through volume leverage.

2. Pan-India EV scooter market share falls below 15% for two consecutive quarters

Implies competitive displacement; would trigger a fundamental reassessment of Rizta platform.

3. Maharashtra plant delayed beyond FY28 or capex overruns exceed ■1,000 Cr vs plan

Would constrain FY28E+ volume capacity and signal execution risk at the management level.

Ideal Investor Profile

Ather Energy is best suited for: (1) **Growth / GARP funds** with a 24-month+ investment horizon looking for India EV exposure with a superior brand and technology moat relative to peers; (2) **Thematic / sector funds** with a mandate for India decarbonisation or clean mobility. The stock is unsuitable for value investors (no earnings, P/B of 11.5x) or investors with short-term horizons. The current valuation requires execution confidence rather than margin of safety.

DISCLAIMER: This report is prepared by a research analyst persona for institutional informational purposes only. All financial data sourced from Screener.in as of 09-Apr-2026. Forward estimates are analyst projections and not guarantees. This report does not constitute investment advice. Please consult a SEBI-registered investment adviser before making investment decisions.